

Global Strategy

Client views - Oil vs Fed vs ECB vs Carry vs Political risk

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Client views after meetings with hedge funds, real money and bank treasury clients in the first half of May. Slides are here: "[Iran conflict meets hawkish US](#)."

Appetite for large, directional positions remains limited, though risk-taking has improved since April. Several clients believed that geopolitical risks remain unresolved with energy price tensions unlikely to ease soon. Many pointed to the [drop in global oil inventory](#), and some also thought that upcoming disruptions in supply chains are underestimated. Nevertheless, the realized range on oil prices is less elevated than feared and allows for some risk-taking. Some investors are expecting higher US rates and oil prices to weigh on Q2 risk sentiment so are looking to cut EM/equity exposure after the US tech rally and strong performance in some EM. H2 expected to be a good window to trade central bank pricing as there will be more clarity on how central bankers think on the nature of the ongoing supply shock.

US – Short front-end and duration have worked, with recent US CPI data validating hawkish positioning. A group of clients think that US rates will go higher from here, but there was less conviction on the shape of the curve. Several clients are waiting to see how Chair Warsh will navigate the FOMC and likely higher inflation prints. The concerns are not universal and several real money and treasury clients see value in going long US 10y at 4.50%. At UBS, we have had a baseline of US 10y at 4.50% in Q2 with US 10y reaching 4.75% in case of an extended energy disruption. In meetings ahead of this week's US CPI release, some clients feared that US CPI could be lower than consensus after a relatively high print became baseline. But the April CPI print was relatively hot and in line with further elevated prints ahead. Several clients said that lower new tenants rents will not be enough to push against broader inflationary pressures.

ECB – Central expectation remains a total of 50–75 bps of hikes in 2026, but sentiment has turned more dovish. Investors increasingly question whether more than one hike will be delivered, given subdued wage pressures and emerging growth concerns visible in May PMI data. Clients like structures positioning for backloaded ECB cuts. We have short EUR June '27 vs June '28, but some clients prefer to position for rate cuts further along the curve. Clients also asked us to stress-test the pricing of a ECB hike June. This was before [Austrian central bank governor Kocher](#) said that we "cannot call hike June baseline". As we write, this 20 bps was priced for the June ECB meeting. On our end, we have been receiving July ECB since 19 bps of hikes was priced going into the last ECB meeting (16 bps was priced for the July ECB today).

Relative value in European Government bonds (EGBs). Some clients argued that Italy is more vulnerable than France, and made a case to go short 10y Italy vs France with 10y Italian yields ~11 bps above 10y France. 10y Italy vs France traded around zero in the final quarter of 2025 and rose to 22 bps in March. We think that Italy may eventually underperform France but we do not see the case for near-term underperformance as a moderate search for carry in EGBs has resumed. We have been neutral on Italy, France and Spain against Germany but would not lean against further tightening in spreads. The European Commission is reviewing the escape clause for fiscal rules but we do not see a repeat of the fiscal support granted in the pandemic with [ECB president Lagarde](#) echoing comments of other euro area central bankers that the price signal in particular should not be eliminated by the fiscal measures that should be temporary and targeted.

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UK – Demand is emerging at higher yields, but opinions diverge. Some interest in longs has started to emerge at higher gilt yields, but long positions taken ahead of local elections or on Friday after elections have performed poorly. [BoE MPC member Mann](#) warned about the implications for the UK change in the investor base for gilts away from domestic pension funds to highly price-sensitive foreign funds. This dynamic is now also a concern with investors. On our end, we opened 5s10s steepeners at 45bps (target: 65bps and stop: 30bps) at the start of this week. We went long June BoE (opened at 19 bps of hikes) before the last BOE meeting.

Extras - We did not pick up material concerns on US or EUR funding markets (despite issuance likely picking up in May/June). Investors are eager for more clarity on German budgets for 2027-28 and coalition dynamics are closely followed given [deteriorating approval ratings](#).

Recent Notes

[UK curve: Higher and steeper for longer \(12 May\)](#)

[2026 Outlook – Iran conflict meets hawkish US \(11 May\)](#)

[AI releases did not lower rates or reduce fiscal risks in '25-26 \(8 May\)](#)

[Not long 10y UK at 4.94% - Rate uncertainty, politics and oil \(7 May\)](#)

[Receive 1y1y SEK versus USD \(5 May\)](#)

[AI - No clear path to lower rates \(5 May\)](#)

[Receiving July ECB at 19 bps, still short June '27 vs June '28 Euribor \(30 Apr\)](#)

[US Refunding - Revising expected '26 coupon supply slightly lower \(29 Apr\)](#)

[Receive BoE June Meeting at 19 bps \(29 Apr\)](#)

[Warsh vs Bernanke Fed - More volatile rates ahead? \(28 Apr\)](#)

[UK Remit Revisions and Supply Chart Pack \(23 Apr\)](#)

[IMF Takeaways - Trading "one transitory shock after another" \(20 April\)](#)

[UK 10y higher for longer: 4.75% at end '26 \(from 4.05%\) \(20 April\)](#)

[End '26 Forecast: 10y US at 4.25% \(4%\) - bund at 2.75% \(3%\) \(16 April\)](#)

Figure 1: Open UBS rates trades

Market	Position	Entry Date	Entry Level	Current Level	Target	Stop	Gain (bps)
USD	Long 2s7s10s SOFR butterfly	27-Mar-26	-8	-4	-40	10	-4
EUR	Receive July ECB	30-Apr-26	19	17	0	28	3
EUR	Long 10y EU vs Germany	27-Mar-26	35	33	20	45	2
EUR	Long 10y bunds (%)	26-Mar-26	3.00	3.10	2.75	3.25	-10
EUR	Pay June '27 Euribor vs receive June '28 Euribor	21-Mar-26	-3	-14	-30	-10	11
GBP	Long nominal 5s10s steepener	12-May-26	45	46	65	30	1
GBP	Receive BoE June Meeting	29-Apr-26	19	11	0	30	8
CHF	Receive SARON Sep-27 (%)	11-Mar-26	0.22	0.35	0.00	0.40	-13
AUD	Pay 1y swap (%)	23-Mar-26	4.76	4.73	5.00	4.70	-3
AUD	Pay AUD 10y EFP	16-Mar-26	5	6	15	1	1
AUD	Receive 5y2y (%)	14-Jan-26	4.83	5.08	4.40	5.10	-25
NZD	Pay May-26 RBNZ vs Receiving 1y1y (%)	21-Apr-26	1.49	1.68	1.40	1.60	-19
JPY	Long 6m fwd 2s10s steepener	09-Feb-26	64	85	100	55	21
SEK VS USD	Receive 1y1y SEK vs USD (%)	05-May-26	-1.31	-1.56	-1.65	-1.20	25

Source: Bloomberg, Haver, UBS. Past performance is not necessarily indicative of future results.

We would like to thank Deepak Joy and Mehak Bhalla, our research support service professionals in our Hyderabad Research BSC, for assisting in preparing this research report.

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